

(A)
b) Law of demand states that demand for a commodity rises when price falls & vice versa, when other determinants of demand remain unchanged.

→ dd varies inversely with price.

components of demand:

1) income - when income increases dd for good increases.

2) price of commodity. A fall in price induces consumers to buy more.

3) Taste & preference.

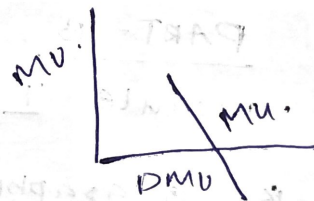
4) Price of related good.

5) Expected change in price.

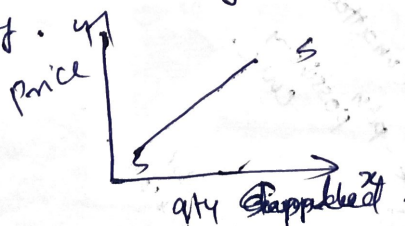
12a) popularised by Marshall

→ The law states that as the stock of commodity increases with the consumer, his MU to the consumer decreases.

It can be zero, -ve



b) Law of supply states that other things remaining same, the quantity supplied of a commodity is directly related to the price of commodity.



Determinants: